University of St.Gallen

Institute of Accounting, Control and Auditing

Principles of Financial Management
Lecture 1: Introduction

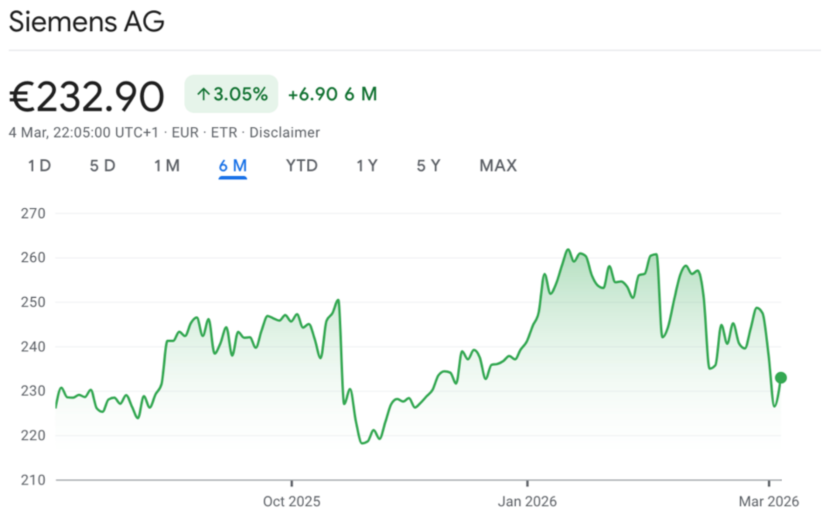
Business Administration B

Spring Semeseter 2026

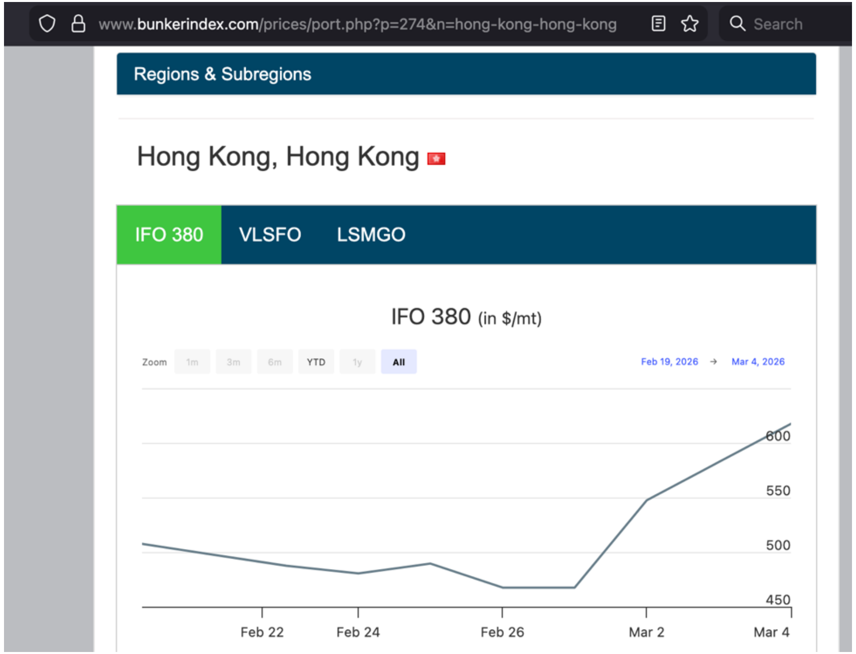
From insight to impact.

From the News

From the News: How financial markets also react to geopolitics.

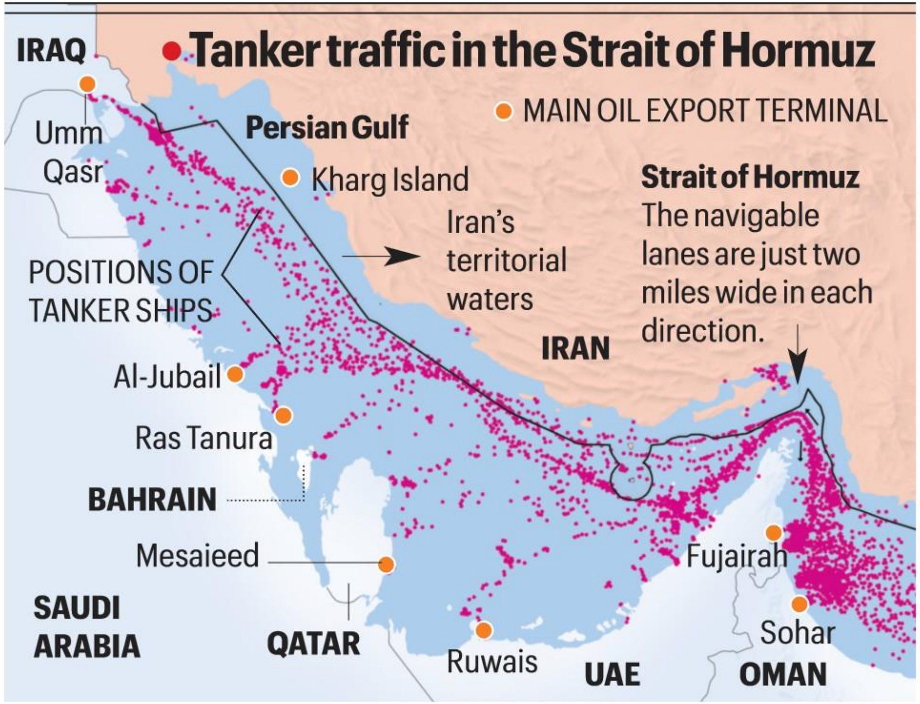


From the News: oil and petrol prices since the Iran war.

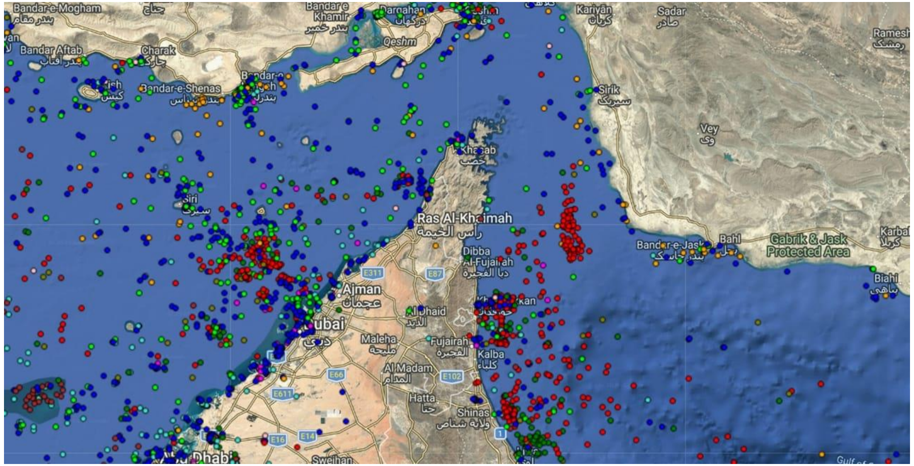


IFO 380, or HSFO 380, is an intermediate fuel oil (IFO) with a maximum kinematic viscosity of 380 centistoke (cSt) at 50 degrees Celsius and a maximum sulphur content of 3.5%.

From the News: oil tanker traffic in the strait of Hormuz



NOTE: SHOWS DAILY TANKER POSITIONS FROM FEB 1 TO FEB 15.
SOURCES: THE NEW YORK TIMES; KPLER, MARINE REGIONS, FLANDERS MARINE INSTITUTE.

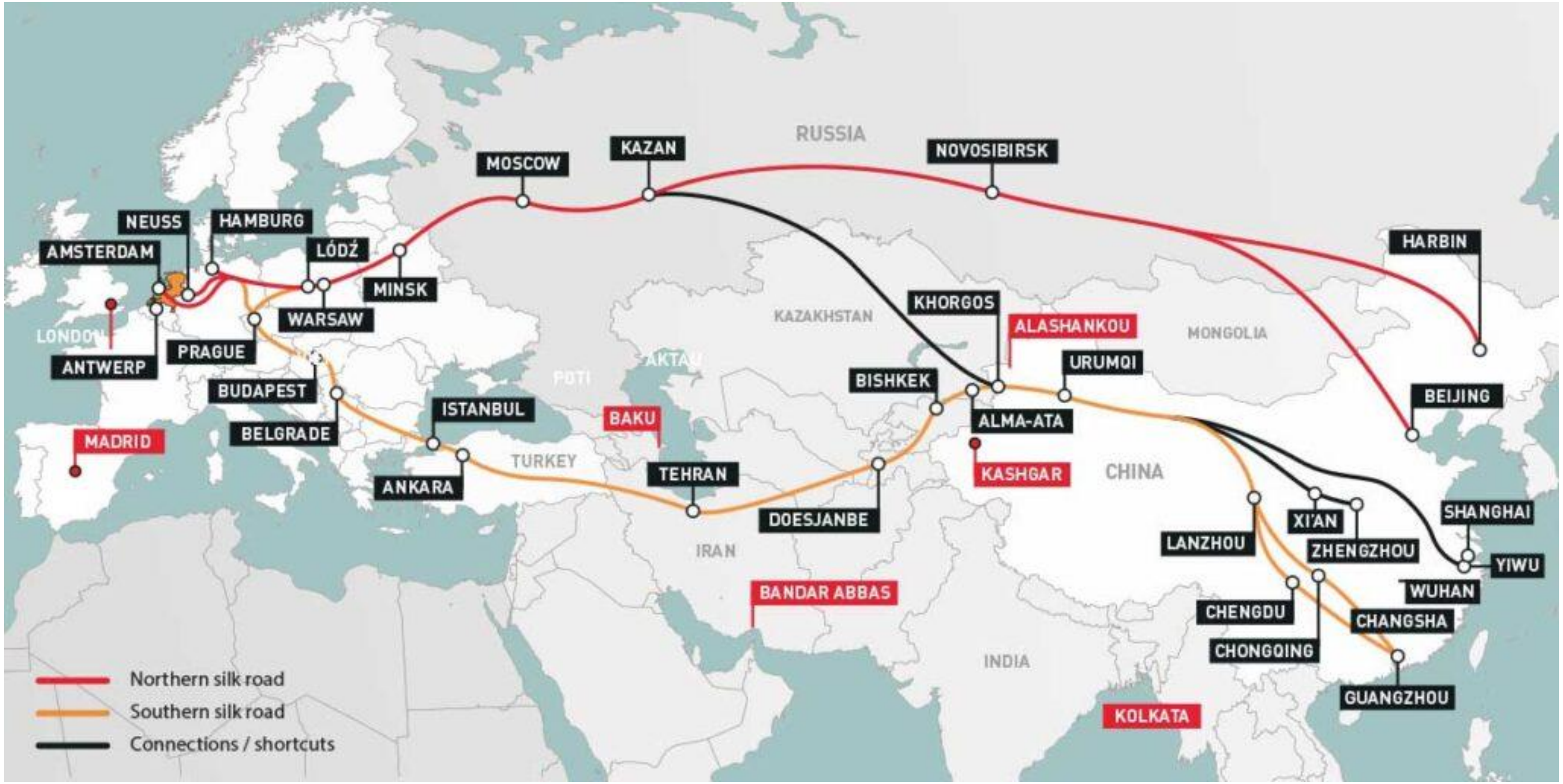


From the News: Importance of oil shipping from the middle east

From the News: current pipeline network in the middle east

Selected Oil and Gas Pipeline Infrastructure in the Middle East

From the News: map of the new silk road



From the News: effect of international oil prices in Ethiopia

www.google.com/search?q=diesel+black+market+price+ethiopia&sca_esv=

AI Mode All Shopping Images News More

The **black market price** for diesel in Ethiopia has reached as high as **300 ETB per litre** in severely affected regions. While official prices are significantly lower, widespread shortages and regional supply cuts have forced many drivers to rely on these unauthorized sellers. Facebook +3

Market Price Comparison (March 2026)

- **Black Market Price: 170 – 300 ETB per litre.**
  - **Afar Region:** Reported peaks of **300 ETB.**
  - **Amhara Region:** Prices reached **225 ETB** in cities like Bahir Dar and Gondar.
  - **Sidama/Oromia:** Prices exceeded **170 ETB** in Hawassa and Adama.
- **Official Pump Price: 116.49 – 129.12 ETB per litre.**
  - The official rate for **white diesel** was last adjusted to approximately **129.12 ETB** in late 2025.
  - As of **March 2, 2026**, international tracking still reflects a regulated base price of **116.49 ETB.** Addis Standard +6

www.google.com/search?q=diesel+black+market+price+ethiopia&sca_esv=

AI Mode All Shopping Images News More

Labor Wage Breakdown (Early 2026)

- **General Daily Labor: 3,307 – 10,234 ETB per month** gross.
  - This equates to roughly **130 – 400 ETB per day** based on a standard 26-day working month.
- **Construction Sector: 4,228 – 7,217 ETB per month.**
  - Entry-level construction laborers typically start at approximately **160 – 240 ETB per day.**
- **Public Sector: 6,000 ETB per month** minimum.
  - Following landmark reforms in late 2025, the government raised the minimum public sector wage from 4,760 ETB to **6,000 ETB** to help combat rising living costs. Mywage.com +3

The first lecture introduces the course, links financial management to the SGMM, and provides an overview of relevant subprocesses.

The course is part of Business Administration B and consists of lectures, required reading, and exercises.

Calendar Week	Semester Week	Date	Module	#	Topic/Title of Lecture		Required Readings (to be prepared before lecture and exercises)	Lecture Times: German Track Group 1	Lecture Times: German Track Group 2	Lecture Times: English Track	Exercise Groups (Fridays)
8	1	16.2.-20.2.	Business Ethics (Prof. Dr. Michael Festl)	1	Lecture 1: Basics: Virtue Ethics, Deontology, Utilitarianism			Tue, 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	Coaching for Academic Term Paper
9	2	23.2.-27.2.		2	Lecture 2: Sustainability		Text 1: Club of Rome (1972): *Limits to Growth*, Introduction Text 2: Williams (2015): *Green Giants* , pp. 1-14; 95-123; 245-254				Exercise 1: Case Study South Pole
10	3	2.3.-6.3.		3	Lecture 3: Responsibility		Text 1: Friedman (1962): *Capitalism and Freedom* , pp. 133-136 Text 2: Stout (2012): *The Shareholder Value Myth* , Preface, Introduction, Chapter 4 & 8				
11	4	9.3.-13.3.	Financial Management (Dr. Simon Pfister)	4	Lecture 1: Introduction	Script	Schäfer, Principles of Financial Management, Chapter 1 & 2				
12	5	16.3.-20.3.		5	Lecture 2: Statement of financial position	Script	Schäfer, Principles of Financial Management, Chapter 3 & 4				Exercise 1: Introduction & statement of financial position
13	6	23.3.-27.3.		6	Lecture 3: Statement of profit or less and statement of cash flows	Script	Schäfer, Principles of Financial Management, Chapter 5 (excluding 5.5) & 6				Exercise 2: Statement of profit or loss
14&15	7&8	30.3.-10.4.	**Semester Break** (2 weeks)								
16	9	13.4.-17.4.	Financial Management (Dr. Simon Pfister)	7	Lecture 4: Management accounting	Script	Schäfer, Principles of Financial Management, Chapter 10	Tue, 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	
17	10	20.4.-24.4.		8	Lecture 5: Performance Measurement	Script	Schäfer, Principles of Financial Management, Chapter 11				Exercise 3: Management accounting
18	11	27.4.-1.5.		9	Lecture 6: Financing	Script	Schäfer, Principles of Financial Management, Chapter 12				Exercise 4: Performance measurement
19	12	4.5.-8.5.									St. Gallen Symposium & Dies academicus
20	13	11.5.-15.5.		10	Lecture 7: Mergers & Acquisitions (M&A) + Guest Lecture	Script	Schäfer, Principles of Financial Management, Chapter 14	Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m. + Wed, 8.15-10 a.m.	Exercise 5: Fincancing and statement of cash flows
21	14	18.5-22.5						Tue, 8.15-10 a.m.	Mon, 12.15-2 p.m.		Exercise 6: M&A and wrap up
End of lecture period											
22		26.5.			Financial Management Optional Repetition			Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m.	

The course material consists of material for lectures & exercises, a book with extensive theory, and annual reports for examples.

Scripts
- Lectures: every week, with ‘From the News’
- Exercises: each module

Reader/Book
- Financial Management and Financial Reporting: a practice oriented introduction

Annual Reports
- Nestle 2024
- Geberit 2014 - 2024

StudyNet
- Quizzes for each lecture
- Videos for each lecture

Brian
- Repetition Questions (6 buckets, relesed weekly)
- Learning cards (to be purchased for CHF 20.- on the webpage)

Exam preparation
- Old exams

I worked in international companies and projects for 20 years, today I am still involved in many projects and activities

- Finance background (Ph.D. HSG)
- Project Management
- Part-time houseman (10, 10, 6)
- Make many mistakes – but once only
- People make business with people
- Success is winning and making friends

Have lots of coffee - but never have it alone! Many good things happen over coffee.

The first lecture introduces the course, links financial management to the SGMM, and provides an overview of relevant subprocesses.

Learning objectives: students shall …

- understand how financial management relates and links to the St. Gallen Management Model
- know the subprocesses of Financial Management
- know the most important aspects of each subprocess with examples
- Understand the fundamentals of Financial Reporting

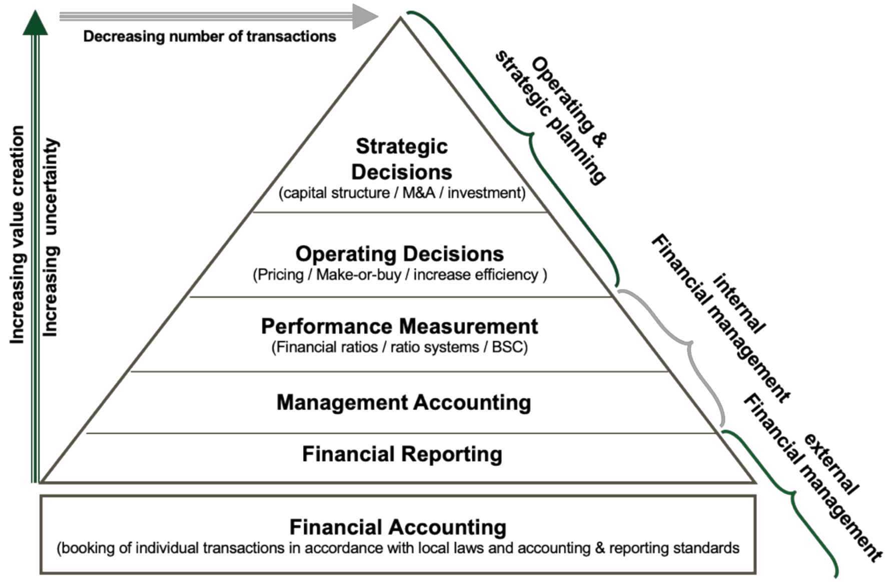
Preparation

- Self study of Reader chapter 1 and 2

The first lecture introduces the course, links financial management to the SGMM, and provides an overview of relevant subprocesses.

1. Administrative
2. Financial Management in the St. Gallen Management Model
3. Principles of Financial Reporting using the example of «On»

Financial Management encompasses all aspects of an organization as all aspects of an organization lead to financial facts.



Financial Management secures and presents the success of a company from the perspective of the Chief Financial Officer (CFO).
Internally, the CFO secures he right decision-relevant information being available in time and at quality in order for the the use of available resources to add value.
Externally, the CFO takes responsibility for financial reporting and for the right capitalization.
(Definition University of St. Gallen)

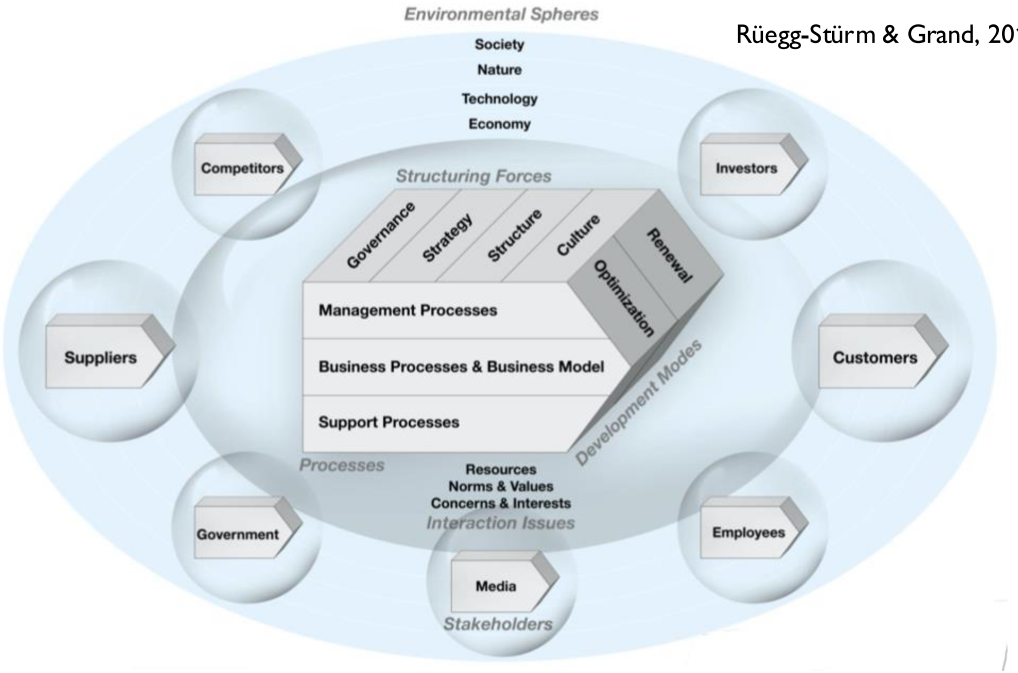
Financial Management serves for other aspects of an organization, however oftentimes these are the key facts for external stakeholders.

The various aspects of Financial Management are represented by different parts of the SGMM and they serve different roles.

Financial reporting is a **support process**, using routinized communication to enact the existence-relevant environment for allocation of capital and therewith allow management to create opportunities and reflexivity.

Management accounting and performance measurement is a **management process** providing financial information for operational decisions as well as for strategy work of the management.

Rüegg-Stürm & Grand, 2019



Financial Management mirrors an organization from a financial perspective.

Financial Management and its aspects are repeatedly concerned in news coverage and analyses of companies.

https://www.investopedia.com/what-went-wrong-with-ftx-6828447

The Collapse of FTX: What Went Wrong With the Crypto Exchange?

By NATHAN REIFF Updated January 04, 2023
Fact checked by VIKKI VELASQUEZ

Cryptocurrency exchange FTX and its founder and former CEO, Sam Bankman-Fried, are intricately entwined. The swift and damaging collapse of FTX in late 2022 will have repercussions on the international crypto community for years to come.

Learn more about what went wrong with FTX.

KEY TAKEAWAYS

- FTX collapsed in early November 2022 following a report by CoinDesk highlighting potential leverage and solvency concerns involving FTX-affiliated trading firm Alameda Research.
- FTX's collapse shook the volatile crypto market, which lost billions at the time, falling below a $1 trillion valuation.
- FTX in November 2022 faced a liquidity crisis and searched for bailout funds; rival exchange Binance considered buying portions of the company but quickly backed out.
- By Nov. 11, 2022, FTX's CEO stepped down and the company filed for bankruptcy.
- In the hours following, FTX experienced a possible hack in which hundreds of millions worth of tokens were stolen.
- FTX founder and ex-CEO Sam Bankman-Fried was arrested in the Bahamas and extradited to the U.S. in late December. He pleaded innocent to all criminal charges Jan. 3.

https://www.cnbc.com/2023/01/09/swiss-national-bank-posts-record-143-billion-loss.html

Swiss central bank posts biggest loss in its 116-year history

PUBLISHED MON, JAN 9 2023-8:13 AM EST | UPDATED MON, JAN 9 2023-10:08 AM EST

Jenni Reid

SHARE

KEY POINTS

- The Swiss National Bank expects a $143 billion loss for the 2022 financial year, the biggest loss in its 116-year history.
- It lost 131 billion francs on foreign currency positions and 1 billion on Swiss franc positions as the franc gained.
- As a result it will not make its usual payout to the Swiss government and member states.

TV
Squawk Box
UP NEXT | Squawk on the
09:00 am ET

Apple to Begin Making In-House Screens in 2024 in Shift Away From Samsung

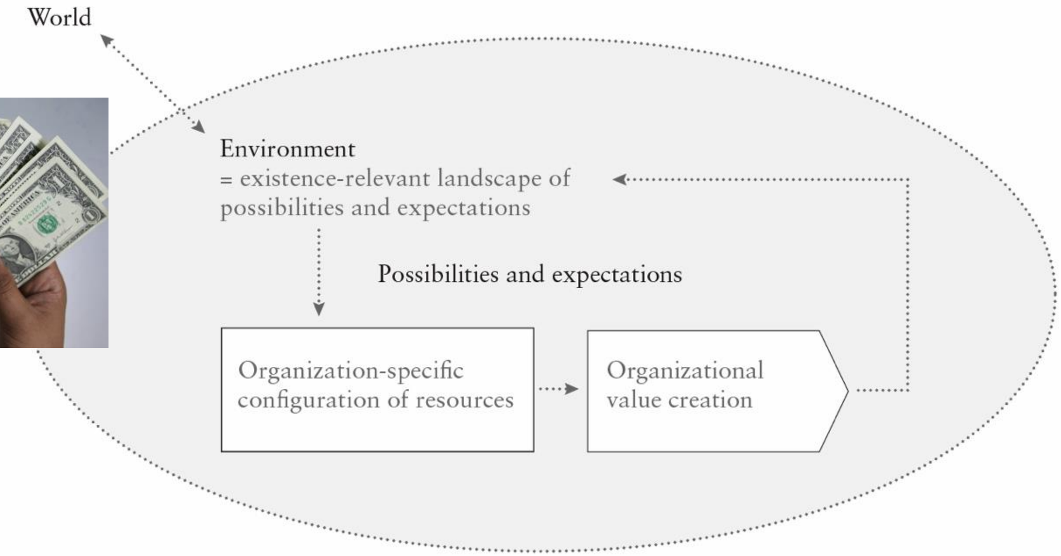
- Company prepares to launch first custom microLED displays
- New screens coming first to high-end Apple Watch, iPhone later

https://www.bloomberg.com/news/articles/2023-01-11/apple-to-begin-making-in-house-screens-in-2024-in-shift-away-from-samsung

The shift to microLED has been a long time coming for Apple. The effort began in 2014 when Apple bought startup LuxVue, which pioneered microLED technology. The development of Apple's own screens had been led by veteran executive Lynn Youngs within Apple's hardware engineering division, but the work was shifted two years ago to the purview of Srouji, who oversees the company's custom chip group.

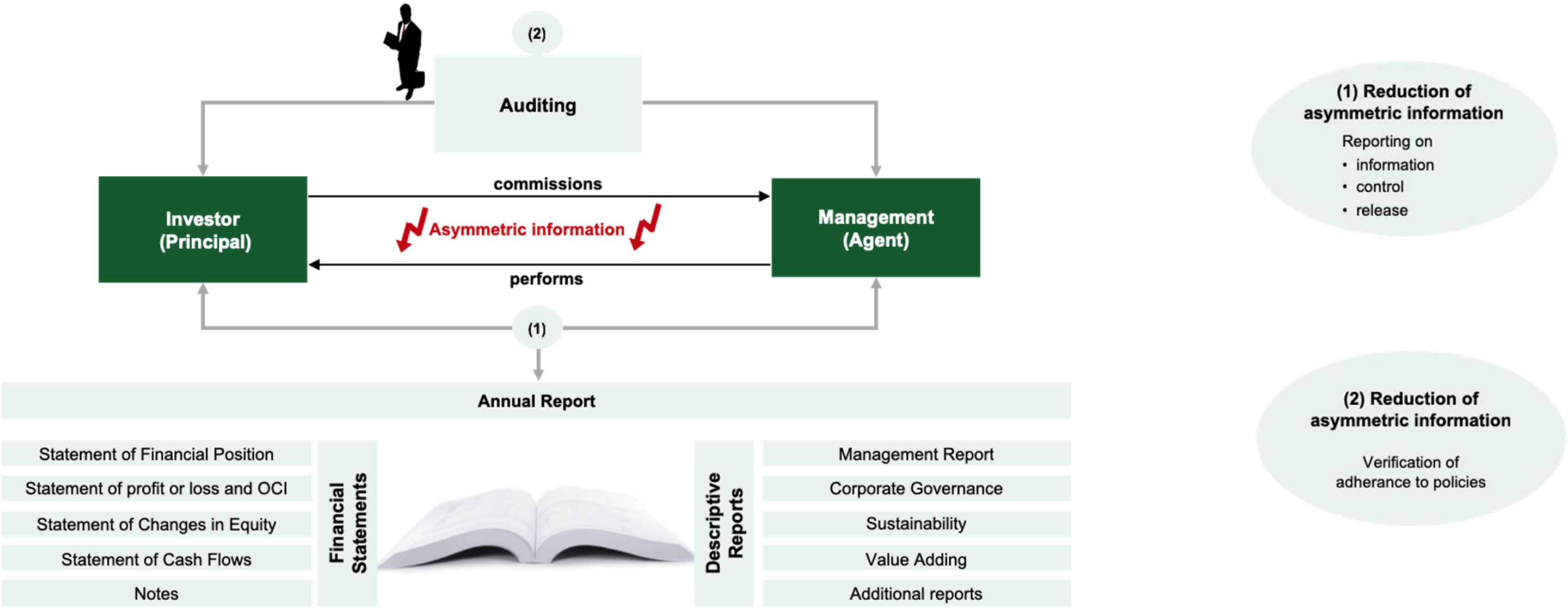
Financial Management typically builds upon operational facts and oftentimes serves other managerial disciplines.

External financial management is essential for the allocation of financial resources, i.e. enacting the environment.



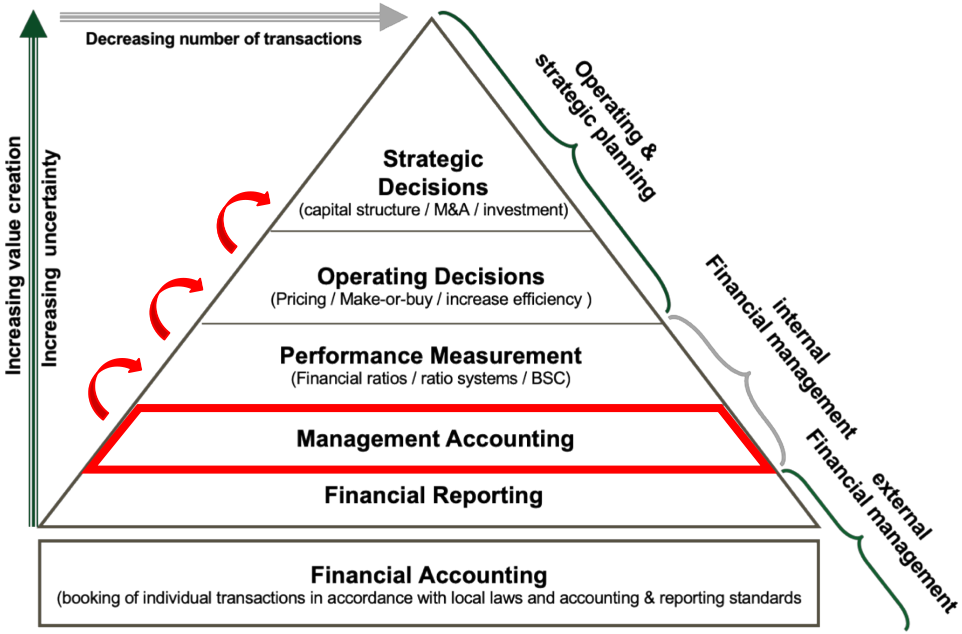
Finding the right capital, i.e. investors/stakeholders, at the right time, for the right amount, at the right conditions (interest, paying back, collaterals).

Adequate financial reporting reduces information asymmetry for investors as stakeholders from the existence-relevant environment.



Financial Reporting is audited to meet the quality standards set out by the investor.

Internal Financial Management is a core contributor for preparing decision necessities, sensemaking, and decision-taking.



Internal financial management translates validated general external-oriented information into an organization-specific context for internal decision processes.

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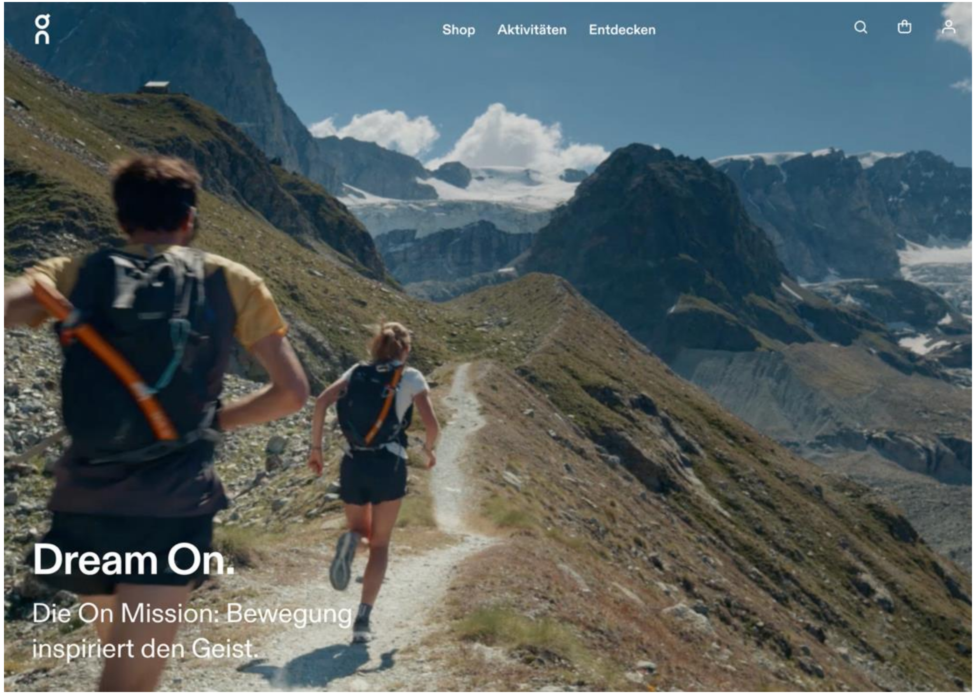
3. Principles of Financial Reporting using the example of «On»

On AG is a young Swiss company in a rather narrow market, combining technology and marketing.



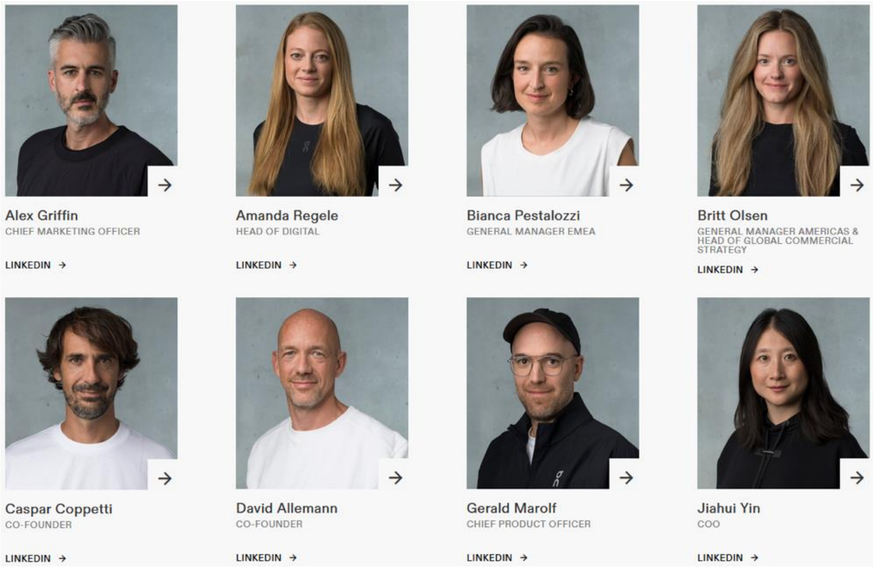
https://www.on.com/de-ch/explore/about-on

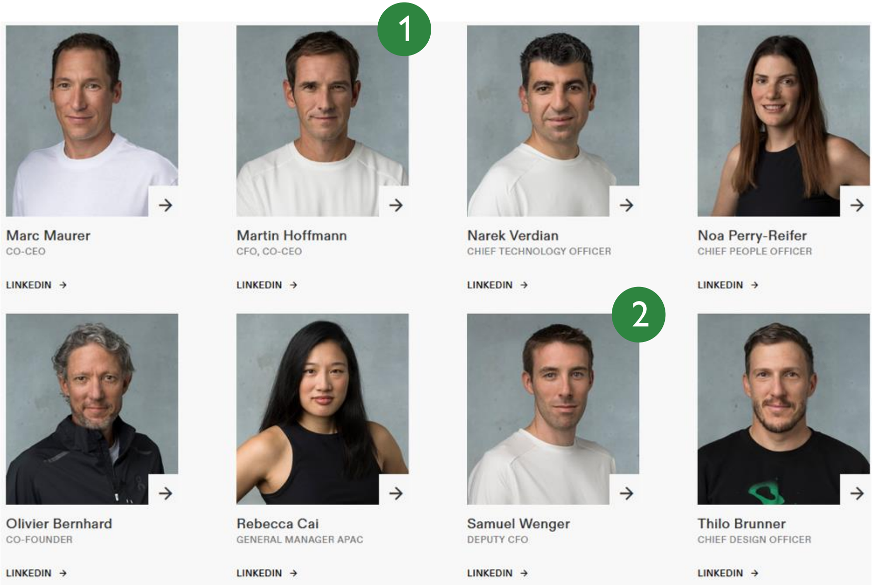
In its short history, it has already made some significant moves that have hardly been seen from other companies before.

- 2010, David Allemann, Oliver Bernhard and Caspar Coppetti develop the first On shoe and found a company in Zurich, aiming for more fun when running.
- In June 2019, Roger Federer joins as an investor.
- On Sep 15, 2021, On AG went public, listing its shares at the NASDAQ stock exchange, being valued at USD 7.3 billion and raising USD 746 million of new capital in the IPO (initial public offering).
- On employs around 3300 employees from more than 100 countries, 30% thereof in Zurich.
- Today, On is one of the fastest growing sports brand world wide, having shown sky-rocking sales with a compound average growth rate (CAGR) since 2010 of 66% p.a.

The decisions for Roger Federer as investor and listing at NASDAQ do have financial considerations, but they are not exclusively financial.

While every representative of the management team must be concerned about financials, also specific roles apply.





1. Co-CEO and CFO
2. deputy CFO

https://investors.on-running.com/governance/default.aspx#management

The announcement of a new CFO as of May 1, 2026, requires an ad-hoc report (is is seen as potentially relevant for the share price)

News

JANUARY 28, 2026

On Announces Appointment of New Chief Financial Officer

On Holding AG (NYSE: ONON) ("On"), the global premium sportswear brand, today announced that Frank Sluis will join the company as Chief Financial Officer (CFO), effective May 1, 2026 . Frank brings a ...

JANUARY 5, 2026

On to Participate in Fireside Chat at the 2026 ICR Conference

Swiss performance sportswear brand On (NYSE: ONON) announced today that the Company will participate in the 2026 ICR Conference. CEO and CFO Martin Hoffmann will participate in a fireside chat on Mond...

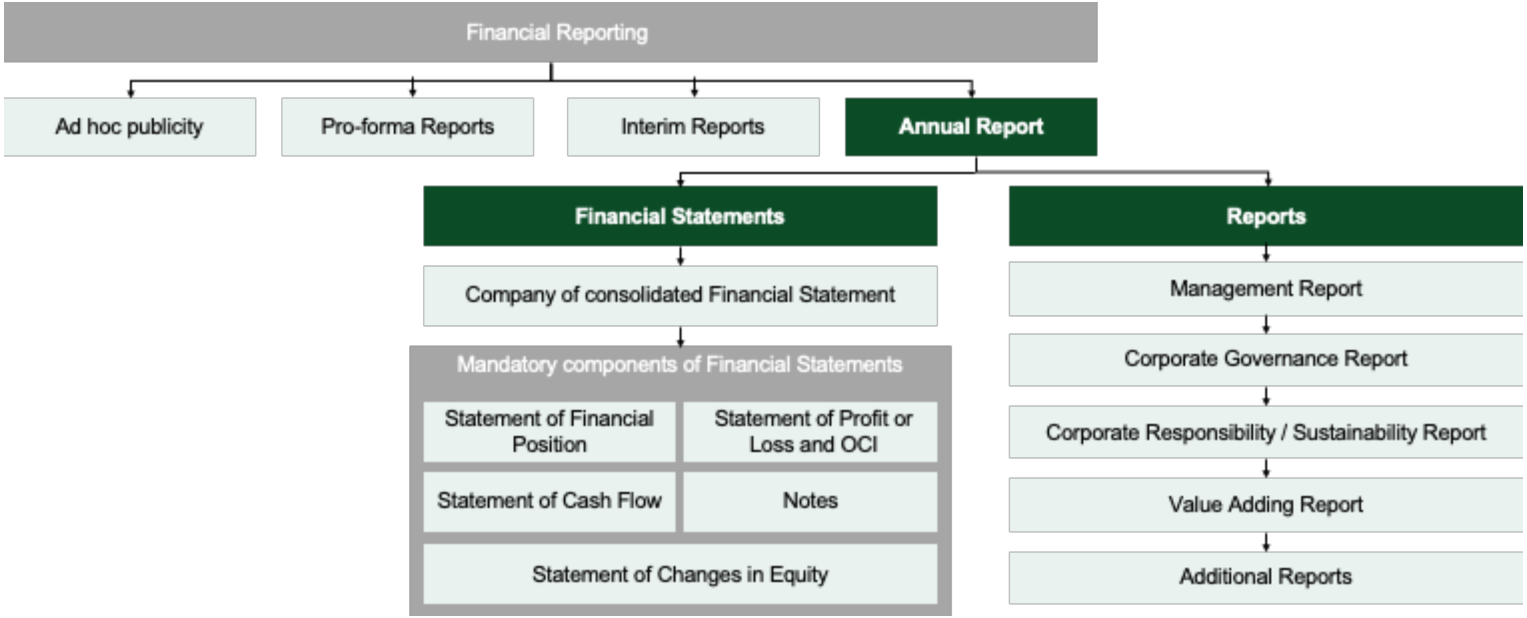
NOVEMBER 12, 2025

On Reports Results for the Third Quarter and Nine-Month Period Ended September 30, 2025

Driven by exceptional global momentum and consistent execution of its strategic priorities, On delivers record net sales and profitability in the third quarter. Net sales increase by 24.9% year-over-y...

https://investors.on-running.com/home/default.aspx

Besides many internal responsibility, external Financial Reporting is one of the most important duties of Financial Management.



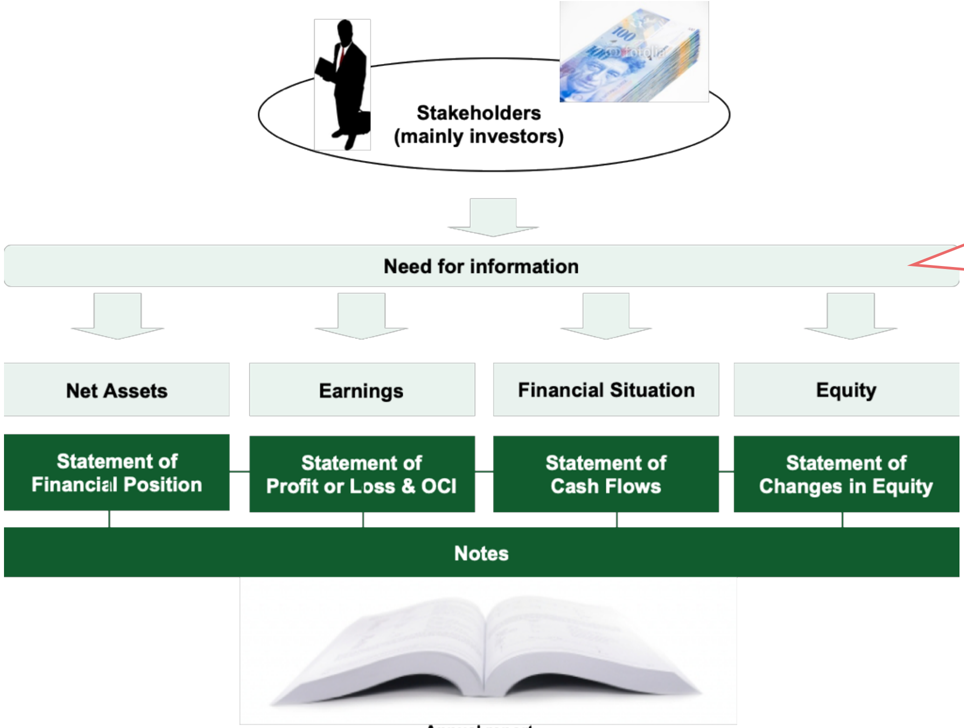
Financial Reporting spans beyond annual reports, and annual reports are more than financial statements only. However, they are the core of financial reporting.

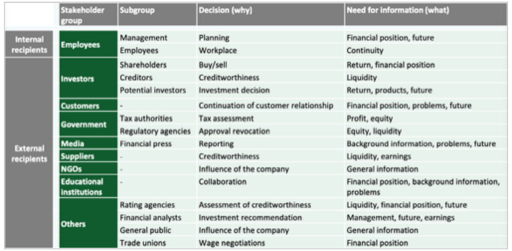
The addressees of Financial Reporting are broad and they require a wide range of information for their economic decisions.

	Stakeholder group	Subgroup	Decision (why)	Need for information (what)
Internal recipients	Employees	Management	Planning	Financial position, future
		Employees	Workplace	Continuity
External recipients	Investors	Shareholders	Buy/sell	Return, financial position
		Creditors	Creditworthiness	Liquidity
		Potential investors	Investment decision	Return, products, future
	Customers	-	Continuation of customer relationship	Financial position, problems, future
	Government	Tax authorities	Tax assessment	Profit, equity
		Regulatory agencies	Approval revocation	Equity, liquidity
	Media	Financial press	Reporting	Background information, problems, future
	Suppliers	-	Creditworthiness	Liquidity, earnings
	NGOs	-	Influence of the company	General information
	Educational institutions	-	Collaboration	Financial position, background information, problems
	Others	Rating agencies	Assessment of creditworthiness	Liquidity, financial position, future
		Financial analysts	Investment recommendation	Management, future, earnings
		General public	Influence of the company	General information
		Trade unions	Wage negotiations	Financial position

While the addressees of Financial Reporting are broad, investors enjoy clear priority. Sustainability oriented information (e.g. ESG reporting, CSR reporting, GRI reporting, EU Non-Financial Reporting Directive) is separate.

Financial Reporting serves the information need of different stakeholders by providing a defined set of statements.





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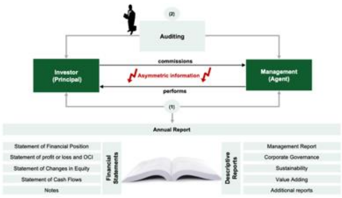
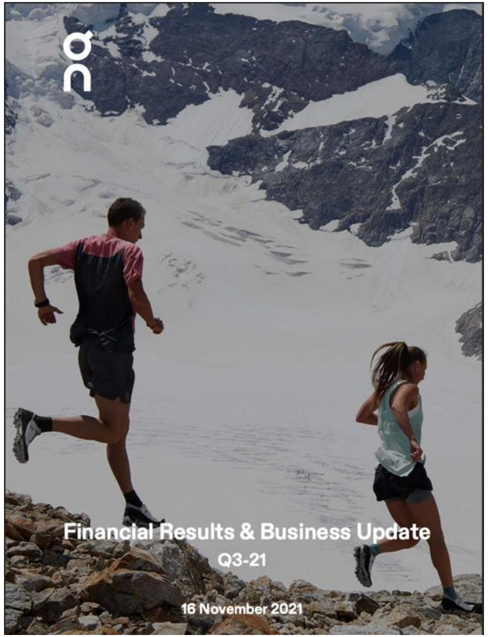


Financial Reporting for On Group is typical for a Startup with recent financial injection (e.g. IPO): need/use of capital.



Consolidated balance sheets

(CHF in millions)	Notes	12/31/2022	12/31/2021
Cash and cash equivalents	4.1	371.0	653.1
Trade receivables	3.1	174.6	99.3
Inventories	3.2	395.6	134.2
Other current financial assets	4.2	33.2	30.1
Other current operating assets	3.6	77.0	48.0
Current assets		**1,051.5**	**964.6**
Property, plant and equipment	3.3	77.2	34.4
Right-of-use assets	3.4	151.6	177.9
Intangible assets	3.5	70.3	57.5
Deferred tax assets	6.4	31.7	2.2
Non-current assets		**330.9**	**271.9**
Assets			
Trade payables			
Other current financial liabilities	4.3		
Other current operating liabilities	3.6		
Current provisions	6.3		
Income tax liabilities			
Current liabilities			
Employee benefit obligations	6.2		
Non-current provisions	6.3		
Other non-current financial liabilities	4.3		
Deferred tax liabilities	6.4		
Non-current liabilities			
Share capital	4.5		
Treasury shares	4.5		
Capital reserves	4.7		
Other reserves	4.7		
Accumulated losses			
Equity			
Equity and liabilities			

Consolidated statements of cash flows

(CHF in millions)	Notes	Year ended December 31, 2022	2021	2020
Net income / (loss)		**57.7**	**(170.2)**	**(27.5)**
Share-based compensation	6.1	38.3	192.4	48.6
Employee benefit expenses	6.2	4.8	1.1	1.0
Depreciation and amortization	3.3,3.4,3.5	46.4	31.4	12.1
Loss / (gain) on disposal of assets		0.9	—	—
Interest income and expenses		(0.8)	2.8	0.6
Net exchange differences		(8.3)	15.2	6.7
Income taxes	6.4	20.2	10.6	3.1
Change in provisions	6.3	(7.4)	4.4	1.7
Change in working capital		(285.8)	(74.4)	(49.2)
Trade receivables		(78.6)	(47.0)	(13.5)
Inventories		(273.0)	(31.8)	(61.3)
Trade payables		65.8	4.3	25.6
Change in other current assets / liabilities		(67.6)	8.1	(6.5)
			—	—
			(4.4)	(5.2)
			16.9	**(14.7)**
			24.6)	(11.0)
			11.6)	(7.6)
			(0.2)	—
			36.4)	**(18.6)**
			—	(3.0)
			13.3)	(3.4)
			0.1	133.3
			18.2	—
			(6.8)	(1.5)
			0.5	—
			(2.8)	(0.6)
			95.9	**124.8**
			76.4	**91.4**
			90.6	0.1
			13.9)	(1.0)
			53.1	90.6

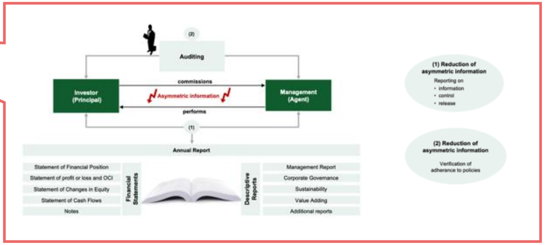
Consolidated statements of income / (loss)

(CHF in millions)	Notes	Year ended December 31, 2022	2021	2020
Net sales	2.1	1,222.1	724.6	425.3
Cost of sales		(537.2)	(294.3)	(194.2)
Gross profit		**684.9**	**430.3**	**231.1**
Selling, general and administrative expenses	2.3	(599.8)	(571.4)	(248.2)
Operating result		**85.1**	**(141.1)**	**(17.1)**
Financial income	4.4	5.7	—	—
Financial expenses	4.4	(6.4)	(3.6)	(0.9)
Foreign exchange result	4.4	(6.5)	(14.9)	(6.4)
Income / (loss) before taxes		**77.9**	**(159.6)**	**(24.4)**
Income taxes	6.4	(20.2)	(10.6)	(3.1)
Net income / (loss)		**57.7**	**(170.2)**	**(27.5)**
Earnings per share	4.6			
Basic EPS Class A (CHF)		0.18	(0.59)	(0.10)
Basic EPS Class B (CHF)		0.02	(0.06)	—

In 2022, On Group made a profit for a first time. Before, the growth lead to a loss, which is typical for a Startup. Still in 2002, there is significant growth, i.e. increase of inventory, decrease of cash, negative operating cash flow.

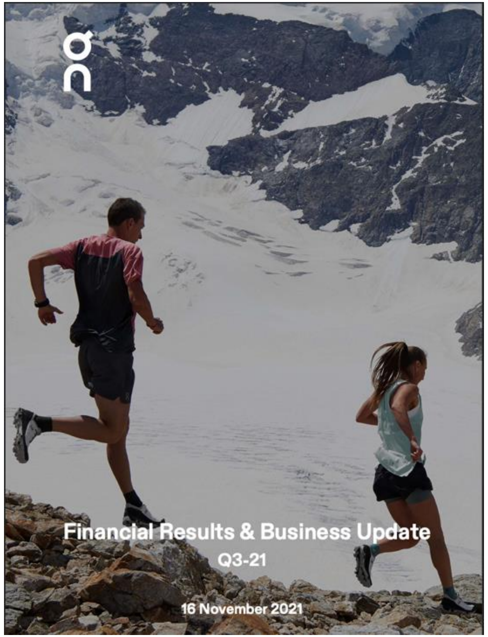
Legal rules and stock exchanges may influence what rules companies apply for their financial reporting.

	Relevance			
	OR / DBG / Kt-StG	Swiss GAAP FER	US GAAP	IFRS
SMEs	✓	(✓)		
Large companies (not listed)	✓	✓		(✓)
Large companies (listed in CH)	✓	✓	✓	✓
Multinational companies (listed in CH)	✓	(✓)	✓	✓



Most large companies listed at the Swiss Stock Exchange prepare the statements according to IFRS (international financial reporting standards), presented in CHF.

On uses IFRS and CHF for Financial Reporting. Does such an exotic approach lead to disadvantages with investors?



MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

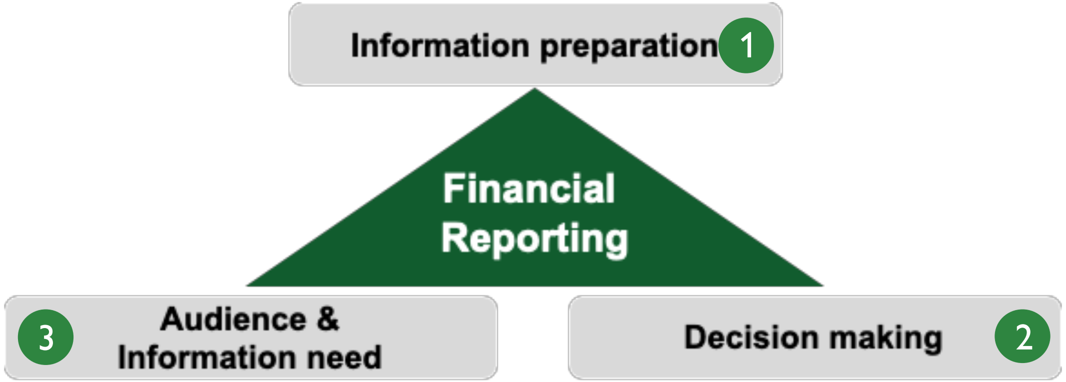
The following discussion of our financial condition and results of operations should be read in conjunction with the consolidated financial information, included as an appendix to this discussion and analysis. As discussed in the section titled "Special Note Regarding Forward Looking Statements," the following discussion and analysis contains forward looking statements that involve risks and uncertainties, as well as assumptions that, if they never materialize or prove incorrect, could cause our results to differ materially from those expressed or implied by such forward looking statements. Factors that could cause or contribute to these differences include, but are not limited to, those identified below. The unaudited consolidated financial information as of and for the three-month period ended September 30, 2021 and for the nine-month period ended September 30, 2021 and 2020 were prepared in accordance with IFRS, as issued by the International Accounting Standards Board, and presented in Swiss Francs (CHF).

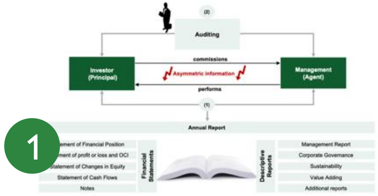
Most companies listed at the New York stock exchange prepare the statements according to US GAAP (US generally accepted accounting principles) presented in USD.

The objectives of Financial Reporting are clearly defined, never the less additional specifications are required.

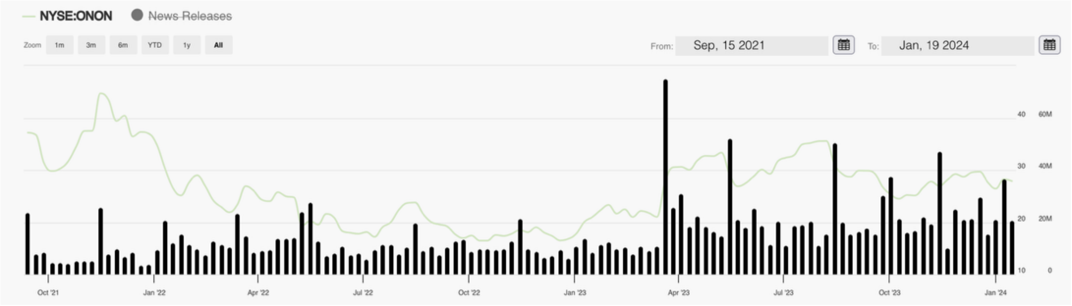
1 2 The goal of financial statements is to prepare information regarding the **asset, financial and earnings position** as well as changes in the asset and financial position of a company, in a form useful for the **economic decisions** of a **broad audience** 3 of recipients.

	Stakeholder group	Subgroup	Decision (why)	Need for inform… (what)
Internal recipients	Employees	Management	Planning	Financial position, future
		Employees	Workplace	Continuity
External recipients	Investors	Shareholders	Buy/sell	Return, financial position
		Creditors	Creditworthiness	Liquidity
		Potential investors	Investment decision	Return, products, future
	Customers	-	Continuation of customer relationship	Financial position, problems, future
	Government	Tax authorities	Tax assessment	Profit, equity
		Regulatory agencies	Approval revocation	Equity, liquidity
	Media	Financial press	Reporting	Background information, problems, future
	Suppliers	-	Creditworthiness	Liquidity, earnings
	NGOs	-	Influence of the company	General information
	Educational institutions	-	Collaboration	Financial position, background information, problems
	Others	Rating agencies	Assessment of creditworthiness	Liquidity, financial position, future
		Financial analysts	Investment recommendation	Management, future, earnings
		General public	Influence of the company	General information
		Trade unions	Wage negotiations	Financial position





IPO is a once in a lifetime event for a company. On AG decided for this financing step at a young age in a niche industry.



https://investors.on-running.com/stock-info/default.aspx

The IPO increased the cash level of On significantly, because newly created shares were sold to new investors.

(CHF in thousands)	September 30, 2021	December 31, 2020
Cash and cash equivalents	672,221	90,642
Trade receivables	105,190	51,631
Inventories	145,285	102,878
Other current financial assets	41,433	17,135
Other current operating assets	40,052	19,979
Current assets	**1,004,181**	**282,264**
Property, plant and equipment	24,745	17,004
Non-current liabilities	**173,804**	**51,114**
Share capital	33,454	2,172
Treasury shares	(2,500)	–
Capital reserves	881,874	276,408
Other reserves	(2,619)	(3,109)
Accumulated losses	(13,626)	(30,377)
Equity	**896,583**	**245,093**
Liabilities and equity	**1,259,525**	**382,569**

With creating new shares, the existing shareholders give up power – but they hopefully gain from an increase in stock price and exit of selling the shares on the secondary market.

The IPO has no direct influence on the statement of profit or loss, indirectly it shows consequences e.g. by allowing growth.

(CHF in thousands)	Three-month period ended September 30, 2021	2020	Nine-month period ended September 30, 2021	2020
Net sales	218,037	130,077	533,492	300,995
Cost of sales	(86,749)	(59,255)	(215,024)	(134,169)
Gross profit	**131,288**	**70,822**	**318,467**	**166,826**
Selling, general and administrative expenses	(107,407)	(56,812)	(282,106)	(182,131)
Operating result	**23,881**	**14,010**	**36,361**	**(15,305)**
Financial income	6	7	18	20
Financial expenses	(674)	(169)	(2,218)	(634)
Foreign exchange result	(5,021)	(5,092)	(2,723)	(5,735)
Income / (Loss) before taxes	**18,191**	**8,756**	**31,439**	**(21,654)**
Income taxes	(5,199)	(654)	(14,688)	(3,307)
Net income / (loss)	**12,993**	**8,102**	**16,751**	**(24,961)**
Earnings per share				
Basic EPS Class A (CHF)	0.05	0.03	0.06	(0.09)
Basic EPS Class B (CHF)	0.005	—	0.01	—
Diluted EPS Class A (CHF)	0.04	0.03	0.06	(0.09)
Diluted EPS Class B (CHF)	0.005	—	0.01	—

In the case of On, growth requires more inventory and more receivables, both of which must be financed. Because of this growth, On reached positive profitability (i.e. Break-Even) in the first 9 months of 2021.

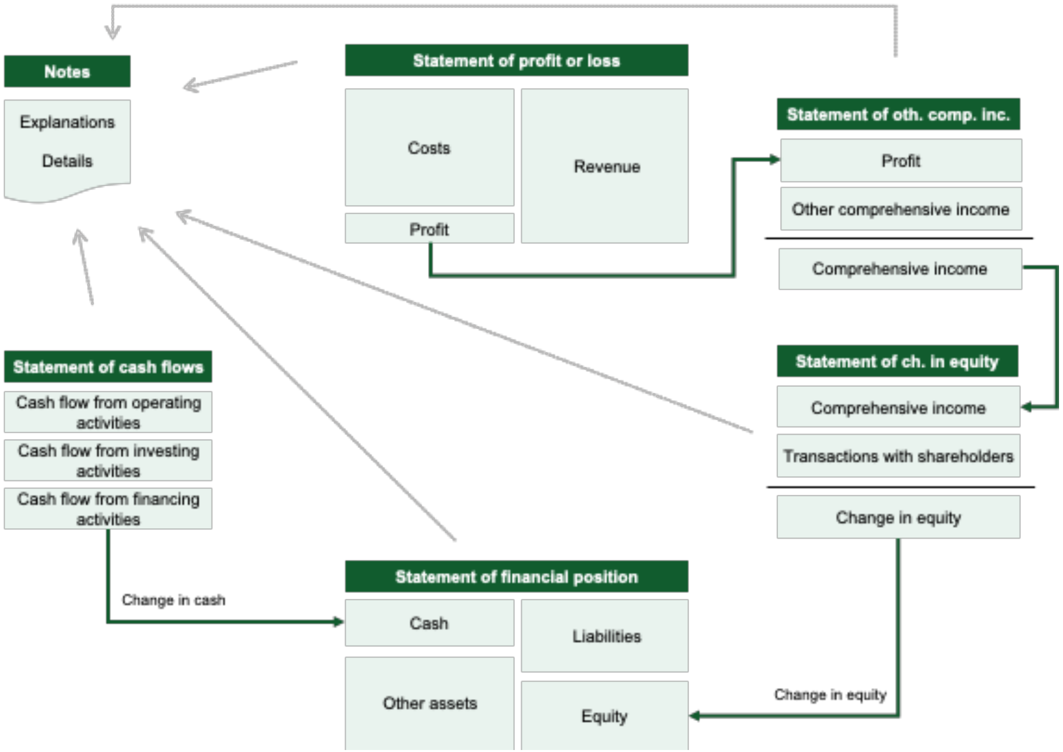
The effect of sales growth can also be seen in the Statement of Cash Flows, leading to negative cash flow from operations

(CHF in thousands)	For the nine months ended September 30, 2021	2020
Net income / (loss)	**16,751**	**(24,961)**
Share-based compensation	22,018	39,607
Employee benefit expenses	1,091	598
Depreciation and amortization	19,391	8,133
Interest income and expense	1,608	430
Net exchange differences	(1,432)	1,227
Income taxes	14,688	3,307
Change in provision	2,351	1,116
Trade receivables	(51,218)	(15,410)
Inventories	(40,914)	(29,720)
Trade payables	8,373	5,348
Change in other current operating assets and liabilities	1,038	4,067
Income taxes paid	(2,218)	(5,036)
Cash flow from operating activities	**(8,473)**	**(11,292)**

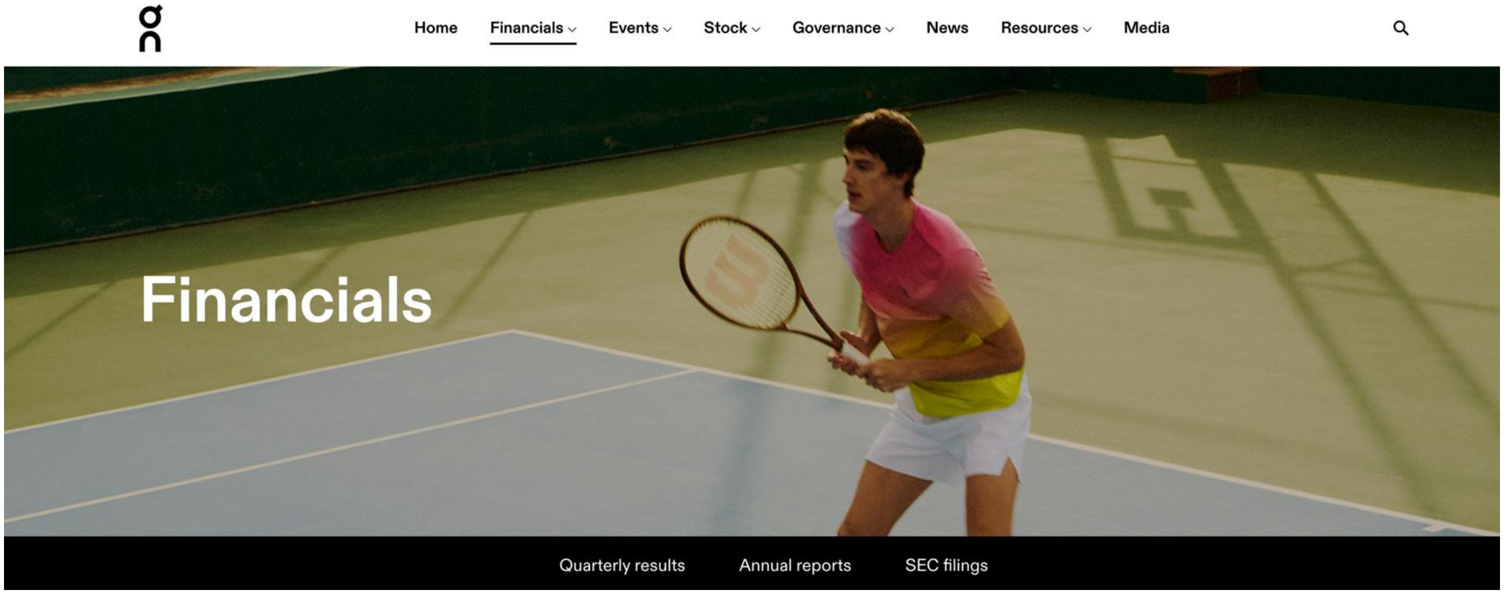
Purchase tangible assets	(12,028)	(6,872)
Purchase of intangible assets	(8,127)	(5,051)
Payment of contingent considerations	(200)	(26)
Cash flow from investing activities	**(20,355)**	**(11,950)**
Repayment of financial liabilities	–	(3,000)
Payments of lease liabilities	(6,874)	(2,109)
Proceeds from issue of shares	618,262	133,266
Equity transaction costs	(363)	(1,464)
Interests paid	(1,598)	(425)
Cash flow from financing activities	**609,427**	**126,268**

Typically, established companies show a positive cash flow from operations, and a negative cash flow from investing activities, i.e. buying new machines. For On, both cash flows are negative, so cash must come from financing.

All five statements are related and finally roll into the statement of financial position. The notes are rather complementary.



While Financial Reporting presents structured information, the Investor Reporting department further nourishes investors.



https://investors.on-running.com/financials-and-filings/default.aspx

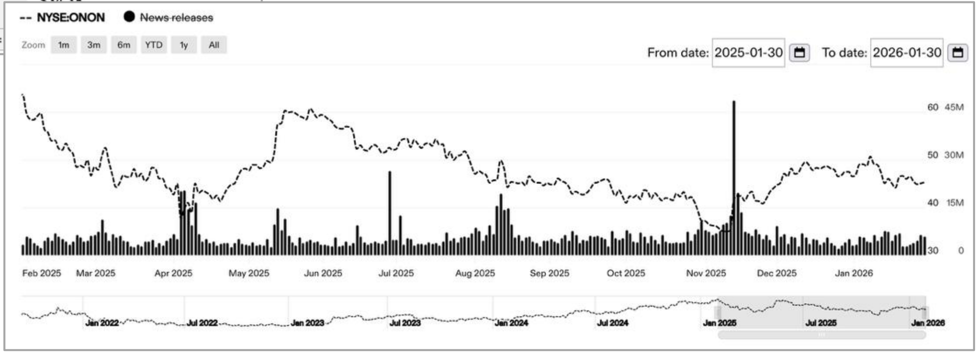
Financials and audited filings, i.e. required publications with structured information, are at the core of any positive relationship with investors and shareholders. However, other aspects gain interest as well, e.g. sustainability.

Ultimately, investors, namely shareholders, are interested in a higher share price and/or dividends.

Stock quote

Price	$45.25	Volume	5,922,515
Change	+0.23	% Change	+0.51%
Today's open	$45.79	Previous close	$45.02
Intraday high	$46.01	Intraday low	$44.66
52 week high	$61.29	52 week low	$34.38

STOCK QUOTE INFORMATION. PRICING DELAYED BY 20 MINUTES. LAST TRADE 01/30/2026 4:



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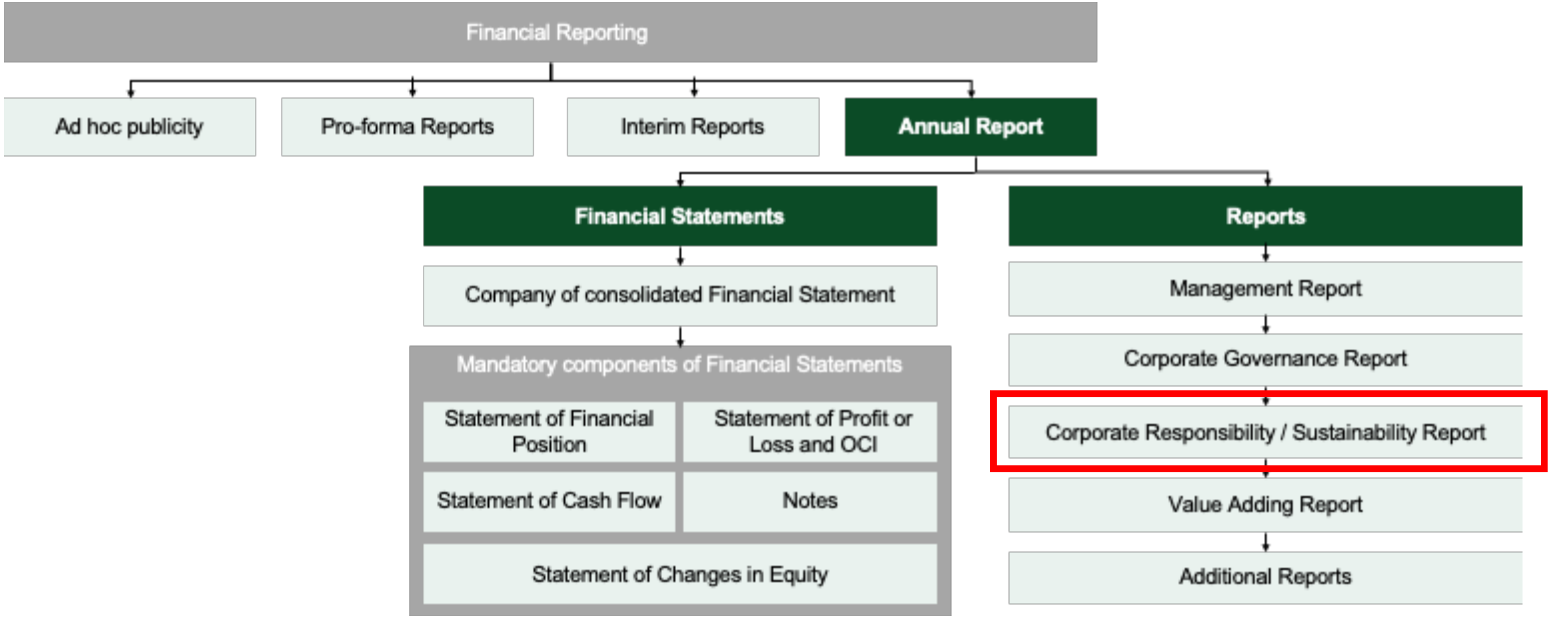
All other aspects, like happy customer, customer retention, and alike, shall contribute to share price and dividends.

Today, responsibility must be considered by companies, at least by public companies which report publicly.



Since the COVID pandemic, we view responsibility and sustainability differently: profit and resilience.

CRS is a generic concept with many different definitions.

A **CSR report** (Corporate Social Responsibility report) is a document where a company shares its efforts, achievements, and future plans related to social and environmental responsibility. It's a way for businesses to be transparent about their impact on society and show stakeholders (like customers, investors, and employees) that they are committed to more than just profits.

Here's what a typical CSR report includes:

1. Introduction & Company Values:

- The company's mission and how CSR aligns with its core values.
- A message from the CEO or leadership team about the importance of social responsibility.

2. Environmental Impact:

- Sustainability practices (e.g., reducing emissions, waste management, energy efficiency).
- Data on carbon footprints, renewable energy use, or recycling programs.

3. Social Initiatives:

- Community engagement, charitable donations, or volunteer work.
- Diversity, equity, and inclusion (DEI) efforts.
- Employee well-being programs and labor practices.

4. Governance & Ethics:

- Corporate governance practices and ethical guidelines.
- Anti-corruption measures, supply chain audits, and responsible sourcing.

5. Performance Metrics & Goals:

- Data-driven results showing the impact of initiatives (e.g., reduction in water usage, number of volunteer hours).
- Future sustainability and social goals, with timelines for achievement.

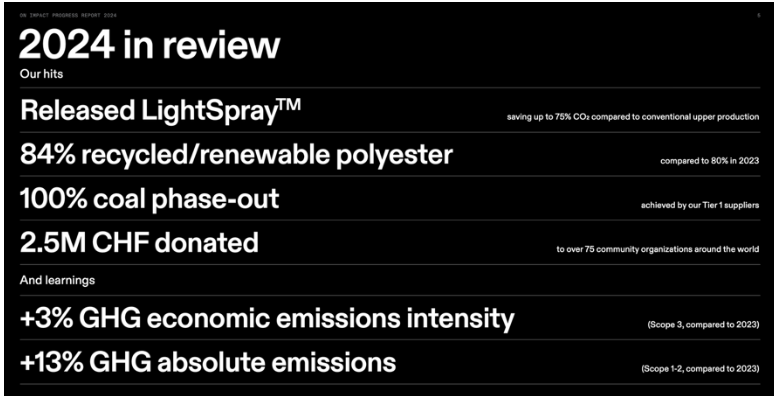
6. Stakeholder Engagement:

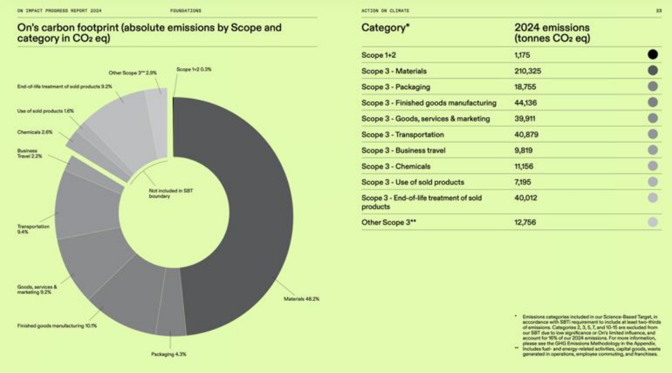
- How the company collaborates with stakeholders to shape CSR strategies.
- Feedback from customers, local communities, or industry experts.

Would you like me to help draft a CSR report outline, or would you like to see an example of how one looks? Let me know! 🌍✨

Recommendations: check the applicable regulations, compare and comply with the industry!
Consequence: CSR reports are hardly innovative (rather evolutionary), and averting future accusations (link)

On calls CSR 'Impact report'



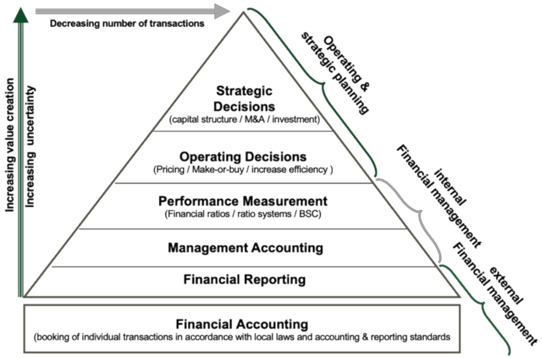


Category*	2024 emissions (tonnes CO_2 eq)
Scope 1+2	1,175
Scope 3 - Materials	210,325
Scope 3 - Packaging	18,755
Scope 3 - Finished goods manufacturing	44,136
Scope 3 - Goods, services & marketing	39,911
Scope 3 - Transportation	40,879
Scope 3 - Business travel	9,819
Scope 3 - Chemicals	11,156
Scope 3 - Use of sold products	7,195
Scope 3 - End-of-life treatment of sold products	40,012
Other Scope 3**	12,756

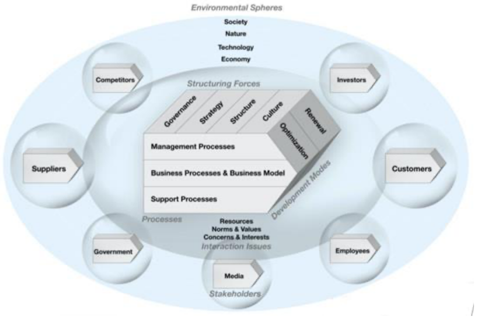
'Quality' is very different than for financial reporting: requirements are 'voluntary', and frequency is volatile

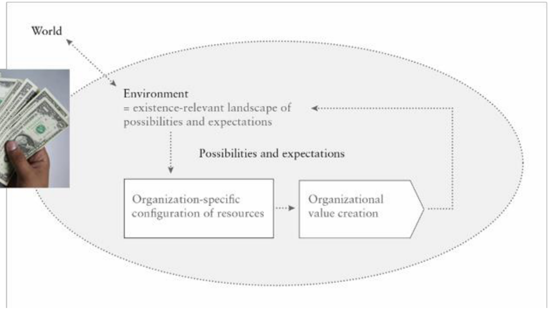
Summary lecture 1

Sub-processes of Financial Management



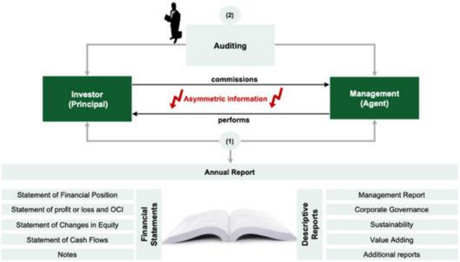
Financial Management as support process and management process in the SGMM

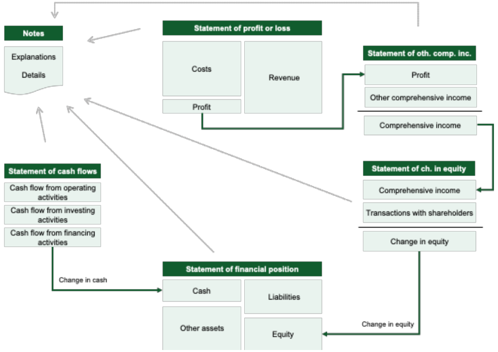




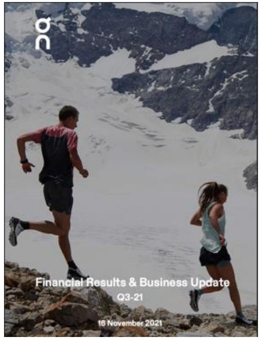
Summary lecture 1

Principles of Financial Reporting





Financial Management in praxis



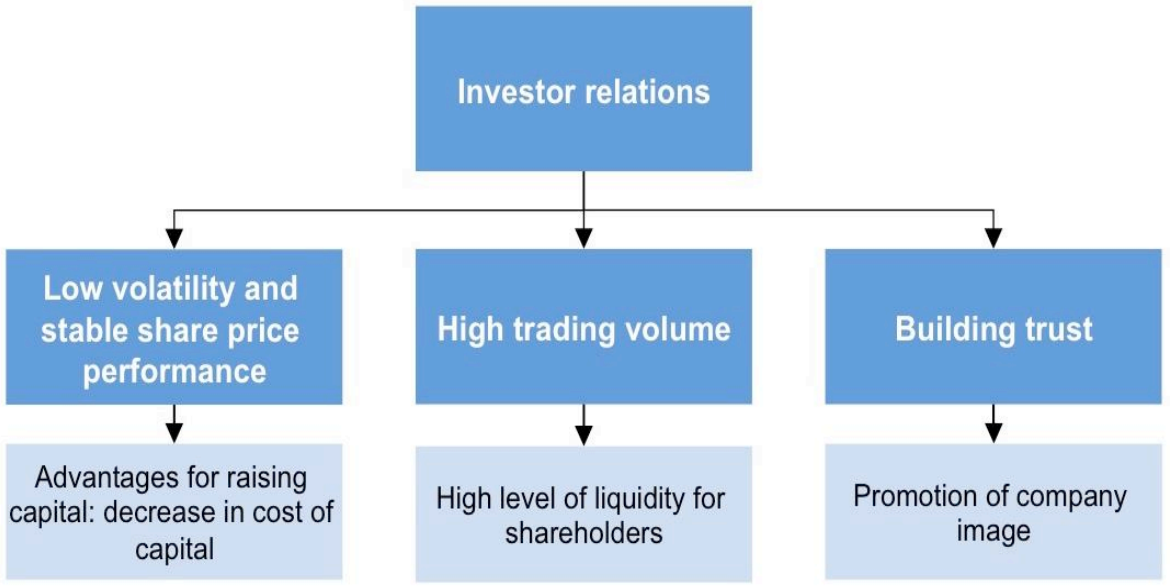
For the exam

1.2	List five possible addressees of annual reports. For each of them: explain their main interest as well as the relevant information from the annual report that would best serve this interest.	5

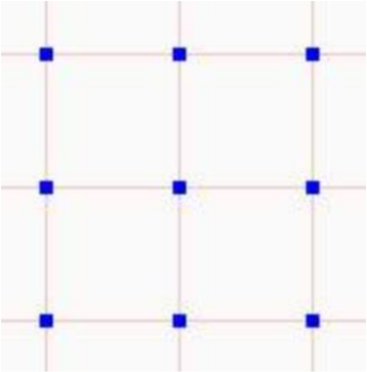
	Stakeholder group	Subgroup	Decision (why)	Need for information (what)
Internal recipients	Employees	Management	Planning	Financial position, future
		Employees	Workplace	Continuity
External recipients	Investors	Shareholders	Buy/sell	Return, financial position
		Creditors	Creditworthiness	Liquidity
		Potential investors	Investment decision	Return, products, future
	Customers	-	Continuation of customer relationship	Financial position, problems, future
	Government	Tax authorities	Tax assessment	Profit, equity
		Regulatory agencies	Approval revocation	Equity, liquidity
	Media	Financial press	Reporting	Background information, problems, future
	Suppliers	-	Creditworthiness	Liquidity, earnings
	NGOs	-	Influence of the company	General information
	Educational institutions	-	Collaboration	Financial position, background information, problems
	Others	Rating agencies	Assessment of creditworthiness	Liquidity, financial position, future
		Financial analysts	Investment recommendation	Management, future, earnings
		General public	Influence of the company	General information
		Trade unions	Wage negotiations	Financial position

For the exam

1.3	List the objectives of Investor Relations and explain why these objectives are relevant for a company.	3



Connecting 9 dots



How can you connect 9 dots with 4 straight lines without lifting the pen?

Hmmm ...